

lished players within the industry, they feel that COD is a very inconvenient payment option for consumers as well as merchants and they strongly encourage their customers to pay online. “From a merchant’s point of view, Cash on Delivery allows customers too much time to change their mind, which they do! Within the industry, the return rates for COD products are as high as 45%. Moreover, when the customer does accept the product and pay, courier companies enjoy the cash float and take long period of time to return the cash



to the companies thereby making this entire model one that is not financially sustainable in the long term”, says Mr. K. Vaitheeswaran Founder & CEO Indiaplaza.com – one of the few sites that enjoys the privilege of having over 95% of all their orders being paid directly online.

Hot or not, the COD model seems to be here to stay within the e-commerce market as more and more players enter the market almost on a daily basis. One can only hope that like many of the other problems that the e-commerce industry has overcome, this too shall be created into a positive opportunity for business and customers alike.

Heroes in the Making

Each new e-commerce model that is introduced within the Indian market today brings to the fore traditional models that have been re-designed to create businesses that have the potential to make it big within the industry. Below are just three from the very many that are capitalizing on the high paced urban Indian lifestyle to offer true value to the customer: